

WHO ARE ARBITRAGEURS?

Arbitrageurs are people who keep a close watch on the price discrepancies in the market for an asset. Arbitrage opportunities basically means that there is a market inefficiency that is there to benefit from. However, arbitrage opportunities are difficult to spot in general. Let us understand arbitrage using a simple example.

For instance, let us say the price of 1 kg tomatoes in your Market A is ₹50

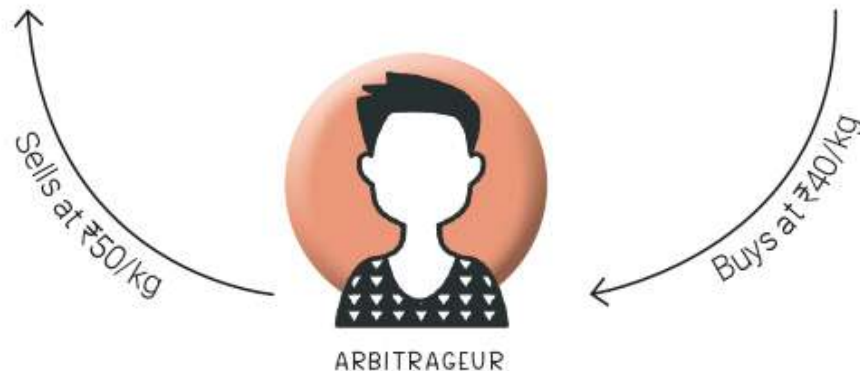


MARKET A



MARKET B

And the price of the same 1 kg tomatoes in your friend's area i.e. Market B is ₹40.



Here as an arbitrageur, you may see an opportunity to buy from Market B and sell in Market A at a profit of ₹10 per kg .



In theory, arbitrage opportunities are risk-less i.e. they have no risk involved. Here similar assets are bought and sold in different markets at the same time. Here the trader tries to benefit from such differences.